TCS2112 · Business Economics

Foundations: Scarcity, Choice, and Opportunity Cost

Original synthetic reading for demonstration and independent study. It is not an official syllabus, lecture note, or assessment specification.

Learning objectives

After this reading, a learner should be able to explain the central idea, apply it to a small example, and identify at least one assumption or limitation.

1. Main idea

Economics studies choices under constraints. Scarcity means resources have competing uses; opportunity cost is the value of the best alternative forgone. Incentives can change behavior, but outcomes depend on context and constraints.

2. Example and reasoning

A small company choosing between a website redesign and new inventory compares expected benefits and costs, including the value of the option it does not select.

3. A method for practice

1. State the problem and define the terms that affect the answer.
2. Write down the assumptions and information available.
3. Work through a small example and make each step visible.
4. Check the result against a second case or independent explanation.
5. Summarize what the result supports and what it does not establish.

4. Questions for study

- Explain “foundations: scarcity, choice, and opportunity cost” in your own words and give a new example.
- Which assumption matters most in the example, and how would the answer change if it were false?
- Describe one common mistake and a practical way to detect it.
- Write a short checklist another learner could use to review this work.

Reflection

Separate evidence from assumptions. If a conclusion depends on information not provided here, identify what would need to be verified.